Box 1. North Macedonia: Debt Sustainability Assessment	
Bottomline: North Macedonia's debt is assessed as sustainable in the current baseline. However, from a liquidity perspective, financing needs exceed the high-risk threshold in the baseline scenario and more so in the stress scenarios.	
Baseline	
Public sector debt is expected to stabilize at about 55 percent of GDP over the medium term, below the 70 percent of GDP high-risk threshold. Gross financing needs will temporarily exceed the 15 percent of GDP high-risk threshold in 2020 and 2021 due to the COVID-19 crisis.	Public debt is set to increase markedly in 2020, reflecting the sharp but temporary rise in the general government deficit due to the COVID-19 crisis, before gradually stabilizing over the medium term. The authorities are committed to consolidate over the medium term, which would place debt on a downward path. The peak in gross financing needs in 2020–21 reflects the higher deficit and repayment of Eurobonds and syndicated bank loans.
Stress Tests	
The public sector debt level does not breach the high-risk threshold in any of the stress test scenarios. However, as in the baseline, gross financing needs exceed the threshold in 2020–21. Additionally, in the combined macro-fiscal shock, gross financing needs exceed the threshold also in 2023. Forecast error analysis suggests no systematic bias in historical projections.	The stress tests demonstrate the risks associated with the government's high public financing needs, as well as the considerable share of FX-denominated debt. The primary balance shock assumes that only half of the projected yearly reduction in the primary deficit materializes after the sharp increase in 2020, which represents a severe downside scenario relative to the baseline where the COVID-19 shock is temporary.
Assumptions	
Real GDP is expected to contract by 4 percent in 2020, driven by a sharp fall in both domestic and external demand, then recover toward the pre-COVID-19 baseline over the medium term. Headline inflation is projected to be negative in 2020 and only gradually increase to 2 percent over the medium term. The fiscal deficit is projected to increase sharply in 2020, due to automatic stabilizers and measures taken to support the economy.	Private consumption is expected to contract as disposable income comes under pressure amid rising unemployment and as spending on travel, hospitality and entertainment is slashed due to regulatory restrictions. Private investment plans are expected to be delayed, due to uncertainty, and exports would contract due to weak global demand. Downside risks are exceptionally large, mainly reflecting uncertainty about the duration and spread of the pandemic, globally and in North Macedonia.
Coverage and Contingent Liabilities	
North Macedonia's public debt includes guaranteed debt of state-owned enterprises. The stress test scenarios include a standard scenario where contingent liabilities related to the banking system materialize.	Publicly guaranteed debt of state-owned enterprises rose from 2½ percent of GDP in 2008 to about 8 percent of GDP in 2019, mainly due to public transport infrastructure projects by the public roads company.

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Figure 1. North Macedonia Public Sector Debt Sustainability Analysis (DSA)—Baseline Scenario

(in percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

	Actual			Projections					
	2009-2017 [2/]	2018	2019	2020	2021	2022	2023	2024	2025
Nominal gross public debt	37.5	47.6	47.8	55.5	55.7	56.0	55.8	55.8	55.8
Public gross financing needs	15.9	13.3	10.5	19.9	18.0	12.4	13.3	10.8	13.3
Real GDP growth (in percent)	2.1	2.7	3.6	-4.0	7.0	4.5	4.0	3.5	3.5
Inflation (GDP deflator, in percent)	2.3	3.9	2.4	2.7	1.5	2.0	2.0	2.0	2.0
Nominal GDP growth (in percent)	4.5	6.7	6.0	-1.4	8.6	6.6	6.1	5.6	5.6
Effective interest rate (in percent) [4/]	3.1	2.9	2.8	2.8	2.8	2.8	2.7	2.7	2.8

As of March 30, 2020		
Sovereign Spreads		
EMBIG (bp) 3/		289
5Y CDS (bp)		n.a.
Ratings	Foreign	Local
Moody's	n.a.	n.a.
S&Ps	BB-	BB-
Fitch	BB+	BB+

Contribution to Changes in Public Debt

	Actual			Projections							
	2009-2017	2018	2019	2020	2021	2022	2023	2024	2025	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	2.5	1.4	0.2	7.8	0.2	0.3	-0.2	0.0	0.0	8.0	
Identified debt-creating flows	2.4	0.9	0.0	7.8	0.2	0.3	-0.2	0.0	0.0	8.0	
Primary deficit	2.7	1.2	1.7	6.6	3.0	2.2	1.4	1.4	1.4	15.9	-1.4
Primary (noninterest) revenue and grants	29.1	28.6	29.2	27.6	29.3	29.4	29.4	29.4	29.5	174.6	
Primary (noninterest) expenditure	31.8	29.8	30.9	34.2	32.3	31.6	30.8	30.8	30.8	190.5	
Automatic debt dynamics [5/]	-0.6	-1.7	-1.4	2.0	-3.0	-2.0	-1.8	-1.5	-1.5	-7.7	
Interest rate/growth differential [6/]	-0.6	-1.7	-1.4	2.0	-3.0	-2.0	-1.8	-1.5	-1.5	-7.7	
Of which: real interest rate	0.2	-0.5	0.2	0.1	0.6	0.3	0.3	0.4	0.4	2.1	
Of which: real GDP growth	-0.8	-1.2	-1.6	1.9	-3.6	-2.4	-2.1	-1.9	-1.9	-9.9	
Exchange rate depreciation [7/]	0.0	0.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.2	1.4	-0.3	-0.9	0.2	0.2	0.1	0.1	0.1	-0.1	
Privatization receipts (negative)	0.0	0.0	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Changes in cash, deposits, and securities held for liquidity purposes	0.3	1.5	-0.2	-0.9	0.2	0.2	0.1	0.1	0.1	-0.1	
Residual, including asset changes [8/]	0.1	0.4	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	

Source: IMF staff.

1/ Public sector is defined as non-financial public sector.

2/ Based on available data.

3/ Long-term bond spread over German bonds.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

Heat Map

Debt level [1/]	Real GDP Growth Shock	Primary Balance Shock	Real Interest Rate Shock	Exchange Rate Shock	Contingent Liability shock
Gross financing needs [2/]	Real GDP Growth Shock	Primary Balance Shock	Real Interest Rate Shock	Exchange Rate Shock	Contingent Liability Shock
Debt profile [3/]	Market Perception	External Financing Requirements	Change in the Share of Short-Term Debt	Public Debt Held by Non-Residents	Foreign Currency Debt

Source: IMF staff.

1/ The cell is highlighted in green if debt burden benchmark of 70% is not exceeded under the specific shock or baseline, yellow if exceeded under specific shock but not baseline, red if benchmark is exceeded under baseline, white if stress test is not relevant.

2/ The cell is highlighted in green if gross financing needs benchmark of 15% is not exceeded under the specific shock or baseline, yellow if exceeded under specific shock but not baseline, red if benchmark is exceeded under baseline, white if stress test is not relevant.

3/ The cell is highlighted in green if country value is less than the lower risk-assessment benchmark, red if country value exceeds the upper risk-assessment benchmark, yellow if country value is between the lower and upper risk-assessment benchmarks. If data are unavailable or indicator is not relevant, cell is white.

Lower and upper risk-assessment benchmarks are:

200 and 600 basis points for bond spreads; 5 and 15 percent of GDP for external financing requirement; 0.5 and 1 percent for change in the share of short-term debt; 15 and 45 percent for the public debt held by non-residents; and 20 and 60 percent for the share of foreign-currency denominated debt.

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